(iii) When allotment and first call money is not paid

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Share capital A/c (50 × 7)	Dr.		350	
	Securities premium A/c (50 × 1)	Dr.		50	
	To Share allotment A/c (50 × 3)				150
	To Share first call A/c (50 × 3)				150
	To Shares forfeited A/c (50 × 2)				100
	(50 shares forfeited)				

Illustration 17

Divya Ltd. allotted 10,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share to applicants of 14,000 shares on a pro rata basis. The excess application money will be adjusted towards allotment money. The amount payable was ₹ 2 on application, ₹ 5 on allotment (including premium of ₹ 2 each) and ₹ 3 on first call and ₹ 2 on final call. Vikas, a shareholder failed to pay the first call and final call on his 300 shares. All the shares were forfeited and out of them 200 shares were reissued @ ₹ 9 per share. Pass the necessary journal entries.

Solution

In the books of Divya Ltd.
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (14,000 × 2)	Dr.		28,000	
	To Equity share application A/c				28,000
	(Application money for 14,000 shares received)				
	Equity share application A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(Application money transferred to share capital)				
	Equity share application A/c (4,000 × 2)	Dr.		8,000	
	To Equity share allotment A/c				8,000
	(Excess application money adjusted towards allotment)				
	Equity share allotment A/c (10,000 × 5)	Dr.		50,000	
	To Equity share capital A/c (10,000 × 3)				30,000
	To Securities premium A/c (10,000 × 2)				20,000
	(Allotment money due)				
	Bank A/c (50,000 – 8,000)	Dr.		42,000	
	To Equity share allotment A/c				42,000
	(Allotment money received)				

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